

Qirat and the three questions Estonia asks

Startup Estonia's eligibility quiz asks whether your business model is scalable with unlimited growth potential, whether you are innovative and offer something the market does not yet have, and whether you can grow globally. This document answers each of those three for Qirat — what the criterion actually means, where the product genuinely stands today, the wording to use in the application, and the specific things still missing.

It is written to be honest rather than flattering, because the Startup Committee reads a great many applications and the ones that fail tend to fail on the same thing: a services business describing itself in software language. Qirat is not that — but the application has to make the difference obvious in the first paragraph.

Programme rules change. Verify the current criteria, fees and process at startupestonia.ee/startup-visa before submitting; nothing here is legal or immigration advice.

1 · Is the business model scalable, with unlimited growth potential?

What Estonia is testing. Whether revenue can grow without headcount growing at the same rate — whether the hundredth customer costs meaningfully less to serve than the first. They are separating software companies from consultancies and agencies, which sell hours and therefore cannot grow without hiring.

The trap you specifically must avoid

Qirat is a product *for* creative agencies. An agency is the textbook example of a non-scalable business. If the application opens by talking about agencies, a reviewer skimming quickly can file you as one. State in the first sentence that Qirat is multi-tenant B2B SaaS whose customers are agencies — the customer is the agency; the company is software.

Where Qirat actually stands

The scalability claim here is architectural rather than aspirational, which is the strongest form it can take:

- **One deployment serves every customer.** Multi-tenant from the schema up: every table carries an organisation id, and Postgres row-level security — forced, so even the table owner cannot bypass it — isolates tenants at the database rather than in application code.
- **A new customer provisions itself.** Signing up runs one transaction that creates the organisation, its owner, a seeded service catalogue priced for that country, a payout policy and the first period. There is no onboarding call, no per-customer configuration, and no code written per customer.
- **Marginal cost per customer is a database row.** No per-tenant infrastructure, no manual setup step, no bespoke integrations required to be useful on day one.

DEFENSIBLE The scalability argument is already true in the code and can be demonstrated, not just asserted. That is unusual at this stage and worth leading with.

MISSING A stated price and paying customers. "Scalable" is an argument about unit economics, and unit economics need a price. Without one, the claim is theoretical.

What to put in the application

SUGGESTED WORDING

"Qirat is multi-tenant B2B SaaS. Our customers are creative agencies; we are a software company. One deployment serves every customer, a new agency provisions itself in a single database transaction with no manual onboarding, and the marginal cost of an additional customer is storage and compute measured in cents. Revenue scales with subscriptions; our cost base scales with product engineering, not with the number of agencies we serve."

Decide these before you apply

Question	A defensible answer for a product like this
Pricing model	Per-agency monthly tier by headcount band, not per-seat — agencies churn freelancers constantly and per-seat pricing punishes the exact behaviour the product is designed around.
Gross margin	State it. For SaaS on managed Postgres this is normally 80–90%; compute yours from real hosting costs rather than quoting a benchmark.
Where growth stops	Answer honestly — it does not, until the market is saturated. That is the answer they want and it is only credible if you also name the market size.

2 · Is it innovative – does it offer something the market does not have?

What Estonia is testing. Whether this is a genuinely new answer or a nicer interface on an existing one. "Better UX than incumbents" is the most common rejected claim in this category.

Qirat's innovation, stated precisely

There are three, and they compound. State them as facts with numbers, not as adjectives.

a. Margin computed on net, with VAT treatment modelled per deal

Every agency management tool treats a price as one number. Every European agency therefore reconciles VAT in a spreadsheet, and gets it wrong in whichever direction their VAT position runs. Qirat models five tax treatments – standard, reverse charge, zero-rated, exempt, not registered – per deal, and freezes the treatment and rate at close so a historical invoice never disagrees with the paper the client holds.

THE NUMBER THAT MAKES THE ARGUMENT

A Berlin agency invoices a Paris client under the reverse charge: 10,000 net, no VAT. Its freelancer invoices 4,000 plus 19%, so 4,760 leaves the bank. A spreadsheet reports 52.4% margin. The real margin is 60% – the 760 is reclaimed input VAT and was never the agency's money. On one deal that is an argument. On a commission calculation it is 600 instead of 524 in someone's pay, every month, in the direction they are least able to check.

b. Your own people's time is priced as a cost

Agency tools track time for billing. Qirat prices it as cost: each person has a day rate, frozen onto the assignment when they are staffed, and logged days flow into the deal's margin and into the payout run. The four days a designer spends on a retainer stop being free.

c. The month separates gross margin from real margin

Overheads and salaries are not in any deal's margin, and they are the reason agencies with healthy-looking numbers run out of money. Qirat's month view is a waterfall from revenue down to what the company actually made.

Line	Example month
Billed	80,000
Suppliers and production	-30,000
Gross profit – what every project tool shows	50,000 · 62.5%
Salaries	-40,000
Running the company	-19,000

Line	Example month
What the month actually made	-9,000 · -11.25%

A month everyone in the studio would describe as strong, that lost money. Two numbers, one above the other, is the entire product thesis — and no tool in this category puts them on the same screen.

Name the incumbents and the gap

Category	What they do	What they do not do
Agency management (Productive, Scoro, Forecast)	Projects, time, resourcing, profitability per project	VAT treatment per deal; margin on net; company-level real margin after overheads and salaries
Time and billing (Harvest, Toggl)	Hours in, invoices out	Any view of whether the business made money
Accounting (Xero, QuickBooks)	Correct books, after the fact	Anything at the moment a price is being agreed, which is when the margin is actually decided

The gap Qirat sits in: **the accounting truth, available at the moment of pricing, in the currency and tax position of the deal being priced.**

STRONG This is a real gap with a number attached, not a UX claim. It is the strongest of the three criteria for Qirat and should be the centre of the application.

3 · Does it have the potential to grow globally?

What Estonia is testing. Whether the market is bigger than one country — and, in practice, whether Europe is a market you can actually sell into rather than one you would have to rebuild the product for.

Qirat is international in the schema, not in the marketing

- **Currency is per deal, not per organisation.** An agency in Cairo billing a client in euros is the ordinary case, not an edge case. 24 currencies are supported, each with its own minor-unit exponent.
- **The reverse charge is implemented.** That is the tax position of essentially every cross-border B2B sale inside the EU. A tool that cannot express it cannot be used by a European agency with European clients — which is most of them.
- **Two seeded catalogues.** A European agency signs up and gets services priced in euros; a MENA agency gets the MENA catalogue. Both are held to the same tests: every service must still make money at its own floor price.
- **Arabic and English, RTL as a first-class layout.** Not a translation layer — logical CSS properties throughout, correct plural forms, numbers isolated so the bidirectional algorithm cannot reorder them inside Arabic text.

The narrative Estonia responds to

A bridge story is credible and specific: Estonia and the Baltics as the European beachhead — small, digital-first, English-speaking agencies with EU cross-border clients, which is exactly the VAT case the product is built around — with Egypt and the Gulf as a second market where the founder already has distribution and where no localised competitor exists.

Do not claim the whole world. Claim two markets you can name, with a reason you can win each.

MISSING A sized market. Estimate it from the bottom up — number of registered creative agencies in your target countries × your annual price — and cite your source for the count. A bottom-up number with a visible method beats a large number from a report.

What the committee will ask beyond the three questions

They will ask	Where Qirat stands
Is there a working product?	Yes — a complete application with 518 automated tests, including tenant isolation proved over HTTP with real sessions. Not yet deployed publicly.
Is there traction?	Not yet. This is the largest gap and the one most worth closing before applying.

They will ask	Where Qirat stands
Who is the team?	Answer honestly. A solo technical founder is acceptable; be clear about which roles you intend to hire in Estonia, since that is part of what the visa is for.
Why Estonia?	EU market access, e-Residency and company formation, and the specific fact that your product's core differentiator is EU VAT handling — a reason tied to the product rather than to convenience.
How are you funded?	State runway plainly. Bootstrapped with a defined runway is a fine answer.

Before you apply – the shortest path to a credible application

In order of how much each one changes the answer.

- ☐ **Deploy it and put it behind a real domain.** A reviewer who can open the product is a reviewer who believes the rest of the application. Everything needed is in the repository; it needs a managed Postgres and a hosting account.
- ☐ **Get three agencies using it, even unpaid.** Three real logos with quotes about the VAT problem is worth more than any deck. Start with agencies you already know.
- ☐ **Put a price on the page.** Monthly tiers by agency size. It converts the scalability claim from theory into arithmetic.
- ☐ **Size the market bottom-up and write down the method.** Agency counts for Estonia, the Baltics, Germany, Egypt and the UAE $\times$ annual price.
- ☐ **Write the one-paragraph problem statement around the VAT number.** 52.4% versus 60%; 62.5% gross versus -11.25% real. Lead with it everywhere.
- ☐ **Record a two-minute demo** that goes from pricing a deal to the month view. The product's argument is visual and lands in ninety seconds.
- ☐ **Prepare the honest answer on traction.** "Pre-revenue, product complete, first pilots in progress" is credible. Overstating is the fastest way to lose a committee.

ملخص بالعربي

الأسئلة الثلاثة التي إستونيا بتسألها: هل النموذج قابل للتوسع؟ هل فيه ابتكار حقيقي؟ هل ممكن يكبر عالمياً؟ ودي إجابات قيراط عليهم.

١ • قابلية التوسع

الفخ الذي لازم تتجنبه: قيراط منتج *للوكلات*، والوكالة هي المثال الكلاسيكي للبيزنس الذي مش قابل للتوسع. لو الطلب بدأ بالكلام عن الوكالات، reviewer ممكن يصنّفك كوكالة. اكتب في أول سطر إن قيراط **SaaS متعدّد المستأجرين**، وإن العميل هو الوكالة، والشركة برمجيات.

الحجّة قوية لأنها **معمارية مش وعد**: نشر واحد بيخدم كل العملاء، والوكالة الجديدة بتجهّز نفسها في transaction واحدة من غير أي إعداد يدوي، والعزل بين المستأجرين متفروض في قاعدة البيانات نفسها مش في الكود. **الناقص:** سعر معنن وعملاء دافعين.

٢ • الابتكار — وده أقوى ورقة عندك

كل أدوات إدارة الوكالات بتتعامل مع السعر كرقم واحد. قيراط بيحسب الهامش على **الصافي** ويمثّل خمس معاملات ضريبية لكل صفحة. الرقم الذي بيثبت ده: وكالة في برلين بتفوتر عميل في باريس باحتساب عكسي — الإكسل يقول ٥٢,٤٪ والحقيقة ٦٠٪. وكمنا: أيام ناسك بتتسبب كتكلفة، وشاشة الشهر الذي بتفصل الهامش الإجمالي عن الهامش الحقيقي — شهر يقول ٦٢,٥٪ إجمالي وهو فعلياً -١١,٢٥٪. محدش في السوق بيحطّ الرقمين دول على شاشة واحدة.

٣ • النمو العالمي

قيراط دولي في التصميم مش في الكلام: العملة لكل صفقة مش لكل وكالة، ٢٤ عملة، الاحتساب العكسي متطبّق (وده الوضع الضريبي لأي بيع B2B عبر الحدود جوّه الاتحاد الأوروبي)، وكتالوجين مسعّرين، وعربي/إنجليزي بـ RTL أصيل.

الحكاية التي إستونيا بترتاح لها: إستونيا ودول البلطيق كنقطة دخول أوروبية، ومصر والخليج كسوق ثاني عندك فيه توزيع. متقولش «العالم كله» — قول سوقين بأسمائهم وسبب مقنن لكل واحد.

الأهم قبل ما تقدّم

- انشر المنتج على دومين حقيقي. reviewer الذي بيقدّر يفتح المنتج بيصدّق باقي الطلب.
- ثلاث وكالات بتستخدمه، حتى ببلاش. ده أهم من أي ديك.
- حظّ سعر. من غيره، كلام قابلية التوسع نظري.
- حجم السوق من تحت لفوق بمصدر مكتوب لعدد الوكالات.
- متبالغش في traction. «قبل الإيراد، المنتج مكتمل، أول تجارب جارية» إجابة محترمة.